

a study may be found in the Mead and Grodinski tables or in the Standard Statistics Company's compilations of net earnings of industrial groups for 1926 onward.

3. The counsel to avoid bonds of declining industries in favor of stocks of expanding industries, given in amazingly categorical fashion,¹¹ may be objected to on additional grounds. The counselors are themselves at pains to point out (pages 461–462) that the sinking-fund device may retire the senior capital of nonexpanding enterprises before they are engulfed in the ultimate and inevitable collapse. Furthermore, to guard against the same tragic fate that awaits even the growing company—but after a longer interval—Mead and Grodinsky insist (pages 465–467) that the investor in its common stock must set up his own sinking fund out of dividends received or profits taken, so that only part thereof is really income. We should think that the bonds of Swift & Co. (in a “declining industry”) deserve to be called safe, for obvious quantitative reasons, even allowing for a reduced per capita consumption of meat in the future. But how the common stock of Johns Manville—a leading issue in an “expanding industry”—can be called “safe,” regardless of whether the investor bought at 155 in 1937 or 58 in 1938, passes our understanding.

4. The elaborate studies on which Mead and Grodinsky base their principle of investment suggest other conclusions which should be of great value to stockholders. It may well be true that in many cases the onset of decline presages the complete loss of earning power and the almost complete loss of stockholders' equity and that management, however competent and resourceful, is powerless to prevent the debacle. But if this is so, the owners of the business may have other alternatives than merely to sell their shares in the open market for whatever they will fetch. Would not exactly the same reasoning, which seeks to persuade the individual holder to sell his stock, be more logically employed to persuade *all* the stockholders to realize on their assets before they are dissipated?

We consider that *The Ebb and Flow of Investment Values* carries a powerful argument in support of our own thesis (developed in Chaps. 43 and 44), viz., that the persistence of market price below liquidating value is a signal that clamors to be heeded; that it challenges the stockholders to find out whether their interest requires the business to continue as before, to change its policies, to be sold or to be partially or completely liquidated; and that, finally, the answer to this crucial question should be sought not from the management—with its prejudices and special interests—but from a competent and impartial outside agency.

¹¹ “The record and the present situation show that, as far as safety is concerned, the common stocks of the successful corporations of the expanding-industry groups which do not issue bonds are safer than the bonds of the successful corporations in the declining-industry groups.” *The Ebb and Flow of Investment Values*, p. 298, New York, 1939.